Superior Court of the State of California
County of Orange

TENTATIVE RULINGS FOR DEPARTMENT C21

JUDGE CRAIG E. ARTHUR

Date: August 14, 2026

The court will endeavor to post tentative rulings on the Court's website by 4:00 p.m. on the day before the Law and Motion Calendar. However, ongoing proceedings may prevent posting by that time. Please do not call the department for tentative rulings if none are posted. The court will not entertain a request for continuance once a tentative ruling has been posted and no additional papers will be considered once a tentative ruling has been posted.

If all parties agree to submit on the Court's tentative rulings, please call the Court Clerk to inform the court that all parties submit on the Court's tentative ruling (657-622-5221). The tentative ruling will then become the order of the Court.

The Law and Motion Calendar is typically heard on Fridays at 10 a.m., unless otherwise noted. All arguments will be heard at that time. Unless otherwise indicated in the tentative ruling, the prevailing party will give Notice of Ruling. If no one appears for the hearing, the court shall determine whether the matter is taken off calendar or whether the tentative ruling shall become the final ruling.

APPEARANCES: The Court offers remote appearances for the Law and Motion Calendar via Zoom. All counsel and self-represented parties appearing remotely for the Law and Motion Calendar must check-in online through the Court's website at https://www.occourts.org/civil-remote-hearings , and then click on Department C21 (to check-in). The Court's "Civil Desktop Remote Appearance Video," an instructional video, is available through the Court's website at Civil Desktop Remote Appearance Video, and the Court's "Civil Mobile Application Remote Appearance Video" is available through the Court's website at Civil Mobile Application Remote Appearance Video. If you encounter difficulty checking-in online or connecting remotely, please call Department C21 for assistance at (657) 622-5221. Counsel and self-represented parties preferring to appear in-person may do so.

COURT REPORTERS: Official court reporters (i.e. court reporters employed by the Court) are NOT typically provided for law and motion matters in this department. Please see the Court's website for further information. The Court's policy on privately-retained court reporters is available on the Court's website at: Privately-Retained Court Reporter Policy.

No filming, broadcasting, photography, or electronic recording is permitted of the video session pursuant to California Rules of Court, rule 1.150 and Orange County Superior Court rule 180.

#	Case Name	Tentative
50	***Escudero vs. System Pavers, LLC***	Before the Court is Defendant System Pavers, LLC's Motion for reconsideration of the Court's 3/27/26 Order denying its Motion to compel arbitration of Plaintiff Anna Maria Escudero's Complaint. Defendant timely filed its Motion for reconsideration just 6 days after the Court issued its ruling. (See ROA 127.) But in the time before the hearing on this Motion, Defendant filed a Notice of Appeal of Order denying the Motion to compel arbitration. (See ROA 148.) Code of Civil Procedure section 916, subdivision (a) (section 916(a)), provides (with exceptions not relevant here), "the perfecting of an appeal stays proceedings in the trial court upon the judgment or order appealed from or upon the matters embraced therein or affected thereby, including enforcement of the judgment or order, but the trial court may proceed upon any other matter embraced in the action and not affected by the judgment or order." The California Supreme Court has recognized section 916(a) does apply to appeals from denials of motions to compel arbitration. (*Varian Medical Systems, Inc. v. Delfino* (2005) 35 Cal.4th 180, 190, "[A] proceeding affects the effectiveness of the appeal if the very purpose of the appeal is to avoid the need for that proceeding. In that situation, the proceeding itself is inherently inconsistent with a possible outcome on appeal and must therefore be stayed under section 916, subdivision (a). Thus,

		an appeal from the denial of a motion to compel arbitration automatically stays all further trial court proceedings on the merits.”) The stay under section 916(a) applies to any “trial court proceeding [that] directly or indirectly seek to ‘enforce, vacate or modify [the] appealed judgment or order.’ ” (*Jack v. Ring LLC* (2023) 91 Cal.App.5th 1186, 1211 quoting *Varian, supra*, 35 Cal.4th at p. 189.) Thus, this Court lacks jurisdiction to decide this motion for reconsideration because the motion seeks to vacate and modify the order being appealed. (*See Young v. Tri-City Healthcare Dist.* (2012) 210 Cal.App.4th 35, 53 [“the trial court lacked subject matter jurisdiction to continue to entertain the [appellant's] reconsideration motion, as of the time that the [appellant] filed its appeal”].) The Motion is therefore taken off calendar. Defendant is ordered to re-notice this Motion for hearing after remand, if warranted. Defendant shall serve notice of this order.
51	***Garcia vs. 360 Health Plan, Inc.***	Case Management Conference.
52	***Garcia vs. Safe Harbor Network, CA, LLC***	The motion by Plaintiff Laura Garcia (“Plaintiff”) for an order consolidating this action (“Fraud Action”) with *Garcia v. 360 Health Plan, Inc.*, case number 30-2024-01399388 (“Whistleblower Action”) is DENIED.

		The Court exercises its discretion to consider Plaintiff's reply evidence. (*Jay v. Mahaffey* (2013) 218 Cal.App.4th 1522, 1537-1538.) When actions "involving a common question of law or fact are pending before the court, it may order a joint hearing or trial of any or all the matters in issue in the actions; it may order all the actions consolidated and it may make such orders concerning proceedings therein as may tend to avoid unnecessary costs or delay." (Code Civ. Proc., § 1048(a).) The granting or denial of the motion to consolidate rests in the sound discretion of the trial court. (*Todd-Stenberg v. Dalkon Shield Claimants Trust* (1996) 48 Cal.App.4th 976, 978-979.) Although Plaintiff complied with the procedural requirements of Rule 3.350, the Court notes that Plaintiff once again filed a notice of motion without the supporting papers. Plaintiff only explains that the caption incorrectly included the list of papers and that the supporting papers were filed more than four months before the hearing. (Gonzalez Reply Decl., ¶¶ 4-5.) However, that does not address the issue that Plaintiff filed another placeholder once again, after being admonished not to do so by the Court. In addition, the Court notes Plaintiff's proof of service represents the moving papers were served on March 14, 2026. (ROA No. 197.) However, Plaintiff's reply declaration states the papers were served on April 1, 2026. (Gonzalez Reply Decl., ¶ 4.) Plaintiff does not explain why Plaintiff's proof of service filed on April 1, 2026,

		states under penalty of perjury the supporting papers were served on March 14, 2026. Plaintiff should be prepared to explain why Plaintiff represented to the Court under penalty of perjury that the supporting papers were electronically served on March 14, 2026, when they were not served until April 1, 2026. Although Plaintiff showed at least the threshold issue of the identity of Plaintiff's employer is required in both actions and that both actions arise out of her employment by 360 Clinic, Plaintiff has not shown why the Court should exercise its discretion to consolidate the two actions. The Fraud Action alleges Plaintiff was induced to accept employment and the Whistleblower Action alleges wrongful termination and retaliation in violation of the Labor Code. The two actions involve different defendants. Although Plaintiff contends Plaintiff dismissed 360 Health Plan, Inc. due to 360 Health Plan, Inc.'s counsel's representations, the Court and defendants Safe Harbor Network, CA, LLC, doing business under the fictitious business name of 360 Clinic ("Safe Harbor") and Vince Tien did not prevent Plaintiff from seeking leave to amend to bring 360 Health Plan, Inc. back into the Fraud Action as a defendant. Although Plaintiff contends in a conclusory manner that the same witnesses, records, and communications relating to Plaintiff's employment and 360 Clinic's structure and operations would be the same in both actions, and that Plaintiff anticipates deposing the same

		executives, officers, and directors, Plaintiff did not name a single witness that would be common in both actions or what evidence is required to establish Plaintiff's claims in both actions. In addition, the Fraud Action has been pending since 2022 and trial has been continued at least twice. There is no trial date set in the Whistleblower Action. There is still one defendant who has not yet appeared in the Whistleblower Action. Plaintiff has not shown the trial on both matters, if consolidated, would be able to properly proceed in January 2027. As for the risk of inconsistent findings, Defendants stipulated to the finding regarding Plaintiff's employer in the Fraud Action to be binding on them in the Whistleblower Action. As for the alter ego allegations, there are no two defendants that are the same in both actions. The Court notes Plaintiff did not request a consolidation for pretrial purposes only. Accordingly, the Court denies Plaintiff's motion. Plaintiff shall give notice of the Court's ruling.
53	***Off calendar***	
54	***Hooper vs. Bassi***	Demurrer and Motion to Strike withdrawn and ordered off calendar. Case Management Conference remains on calendar.
55	***Houck vs. Cole***	The Court grants Defendant/Cross-Complainant Jason Cole's Motion to Compel Compliance with

		its subpoena to third-party SGH Consulting Inc. for records pertaining to Plaintiff/Cross-Defendant Stephen Houck. If a nonparty disobeys a deposition subpoena, the subpoenaing party may seek a court order compelling the nonparty to comply with the subpoena within 60 days after completion of the deposition record. (CCP § 2025.480(b); *see Unzipped Apparel, LLC v. Bader* (2007) 156 Cal.App.4th 123, 127.) Under CCP § 1987.1, the court may make an order quashing the subpoena entirely, modifying it, or directing compliance with it upon such terms or conditions as the court shall declare, including protective orders, and may make any other order as may be appropriate to protect the person from unreasonable or oppressive demands, including unreasonable violations of the right of privacy. (CCP § 1987.1.) On 1/20/26, Cole served a subpoena on SGH seeking the following documents: ALL DOCUMENTS DEMONSTRATING MONIES PAID TO STEPHEN HOUCK, DOB: 10/20/1979 SS# BY SGH CONSULTING, INC., BE IT THROUGH 1099, W-2, W-9, K-1, PROFIT SHARING AND PAY STUBS. ALSO ANY DOCUMENTS REFLECTING HOURS WORKED BY STEPHEN HOUCK, INCLUDING TIME SHEETS, TIME RECORDS, BILLABLE HOURS AND AY RECORDS REFLECTING LOST TIME AT WORK IN THE YEARS 2023-PRESENT, INCLUDING TIME RECORDS, SICK

		LEAVE, VACATION TIME, PERSONAL TIME, MEDICAL LEAVE OR ANY OTHER METHOD OF TRACKING TIME NOT WORKING AT SGH CONSULTING, INC., INCLUDING BUT NOT LIMITED TO ANY RECORDS/DOCUMENTS THAT MAY BE STORED DIGITALLY AND/OR ELECTRONICALLY. (Jabagchourian "Jab" Decl., Exhibit B.) In responses to the subpoena on 2/26/26, Houck, as custodian of records of SGH objected to the subpoena in its entirety. (Jab Decl., Exhibit C.) Given that Houck was the custodian, Cole's counsel reached out to Houck's counsel asking if he represented SGH. (Jab. Decl., Exhibit D.) Houck's counsel never responded. (Jab Decl. ¶5) Cole's counsel then sent a meet and confer letter to SGH. (Jab Decl., Exhibit E.) SGH never responded to that either. (Jab Decl., ¶6.) This Motion was then filed on 3/30/26. (See ROA 162.) Here, Houck has placed his income and absence at work at issue. In response to Request for Admission (RFA) No. 7, Cole asked Houck to admit that he lost no income as a result of his interactions with Cole. In response, he denied the RFA. In opposition, Houck and SGH argue that even when a plaintiff claims lost income as damages, discovery of financial information is not unlimited. The right to privacy extends to an individual's confidential financial information in whatever

		form it takes, e.g., tax returns, checks, statements, or other account information. (*Look v Penovatz* (2019) 34 Cal.App.5th 61, 73; *SCC Acquisitions, Inc. v Superior Court* (2015) 243 Cal.App.4th 741, 754; *Overstock.com, Inc. v Goldman Sachs Group, Inc.* (2014) 231 Cal.App.4th 471, 503.) In the face of an objection based on privacy, the party that is seeking discovery of another party's financial information must show that this information is directly relevant to a cause of action or defense, such that the disclosure is essential to a fair resolution of the lawsuit. (*Look v Penovatz, supra*, 34 Cal.App.5th at 73.) Matters that would otherwise be protected by the constitutional right to privacy are discoverable only if they are directly relevant to the plaintiff's claim and essential to a fair resolution of the action. (*Vinson v Superior Court* (1987) 43 Cal.3d 833, 842.) A party seeking access to constitutionally protected information has the burden of proving direct relevance. (*Davis v Superior Court* (1992) 7 Cal.App.4th 1008, 1017.) Here, the Court finds that the request is narrowly tailored to seek information directly relevant to Houck's claim for lost wages as a result of Cole's alleged conduct. Neither Houck nor SGH have met their burden to justify any of the objections interposed. Thus, the Motion is granted. Houck requests that the documents be produced pursuant to a protective order.

		The parties are ordered to jointly submit a proposed stipulated protective order within 30 days of this ruling. The documents responsive to this subpoena that are the subject of this Motion shall be produced within 15 days of the Court's signing of the stipulated protective order. Cole is ordered to serve notice of this ruling.
56	***Off calendar.***	
57	***Kinecta Federal Credit Union vs. Piskinsoy***	The unopposed motion of plaintiff Kinecta Federal Credit Union for summary judgment on its complaint against defendant Sevki Piskinsoy is GRANTED. Plaintiff moves for summary judgment on its complaint. In the alternative, plaintiff moves for summary adjudication of three issues, each relating to one of the three causes of action in the complaint, which are breach of contract, money lent, and account stated. (ROA 2.) A party may move for summary judgment in an action or proceeding if it is contended that the action has no merit or that there is no defense to the action or proceeding. Code Civ. Proc. § 437c(a)(1). For purposes of a motion for summary judgment, a plaintiff has met its burden of showing that there is no defense to a cause of action if it has proved each element of the cause of action entitling the party to judgment on the cause of action. Code Civ. Proc. § 437c(p(1). Once the

		plaintiff has met that burden, the burden shifts to the defendant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. Code Civ. Proc. § 437c(p)(1). In the first cause of action for breach of contract, plaintiff alleges that, on or about September 1, 2022, defendant entered into a line of credit agreement and disclosure with plaintiff whereby defendant obtained a loan from plaintiff for $46,000 at an annual percentage rate of 10.49 percent. (Complaint, ¶ 6.) Plaintiff alleges that it performed all obligations owed under the agreement and that defendant defaulted by not making the payment due on December 1, 2024, or any time thereafter. (Complaint, ¶¶ 7 and 8.) Plaintiff alleges that it demanded that defendant repay the entire balance of the loan, but defendant has refused to do so. (Complaint, ¶ 9.) Plaintiff alleges that, as of February 26, 2025, defendant owed $47,007.67 on the loan, which consisted of $45,989.24 principal and $1018.43 in interest. (Complaint, ¶ 10.) Plaintiff alleges that interest accrues on the unpaid balance at the rate of $16.68 per day. (Complaint, ¶ 10.) In support of its motion for summary judgment, plaintiff has submitted evidence that consists of the declarations of plaintiff's recovery team lead, Matthew Marquez (ROA 25), and attorney Sabaa "Darius" Ghomashchi (ROA 27) and copies of the loan agreement, payment history, plaintiff's complaint, and defendant's answer. Significantly,

defendant's answer (ROA 11) admits the allegations in the complaint.

Based on this evidence, plaintiff has submitted a separate statement (ROA 23) that includes the following facts:

· that the parties entered into the loan agreement on or about September 1, 2022 (fact 1)

· that the loan was for $46,000 with an interest rate of 10.49 percent per annum and defendant was to make monthly payments (fact 1)

· that plaintiff funded the loan and defendant defaulted on the loan by not making the payment due on December 1, 2024 (facts 2 and 3)

· that, as of February 26, 2025, defendant owed $47,007.24 on the loan, consisting of $45,989.67 in principal and $1018.43 in interest and that interest accrues at the rate of $16.68 per day (fact 4)

These facts are sufficient to establish plaintiff's first cause of action for breach of contract, and the burden shifts to defendant to show that there is a triable issue of material fact. Defendant has not met the responding burden because defendant did not file an opposition to the motion.

Therefore, plaintiff is entitled to summary adjudication of the first cause of action.

Plaintiff's other two causes of action are based on the same indebtedness and are essentially alternative theories of recovery. Given that plaintiff has shown that its cause of action for

		breach of contract is meritorious, the Court need not consider these other causes of action. Plaintiff is entitled to summary judgment on its complaint against defendant. Plaintiff is ordered to prepare a proposed judgement, consistent with this ruling, for the Court's signature. Plaintiff is to give notice of this ruling.
58	***McCartney vs. Jaguar Land Rover North America, LLC.***	The demurrer by Defendants Jaguar Land Rover North America, LLC ("Jaguar") and Jaguar Land Rover Mission Viejo ("Dealership," together with Jaguar, the "Defendants"), to Plaintiff Robert McCartnery's First Amended Complaint is sustained in part and overruled in part. The demurrer to the fifth cause of action for negligent repair is sustained with leave to amend. The demurrer to the sixth cause of action for fraudulent concealment is overruled. ***<u>Fifth Cause of Action: Negligent Repair</u>*** "[T]he well-known elements of any negligence cause of action [are] duty, breach of duty, proximate cause and damages." (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 526, citing (*Artiglio v. Corning Inc.* (1998) 18 Cal.4th 604, 614.) Defendants, here, contend that the negligent repair claim fails, because "Plaintiff alleges a duty but fails to describe any particular negligent conduct that proximately caused its damages"; and, that the "generalized allegation of improper performance does not identify what Defendant did or failed to do, when it occurred, or how it

		caused the alleged harm." (ROA 59 [Memo. of P&A at pp. 7-8].) The Court agrees. Plaintiff alleges he "delivered the Subject Vehicle to [Dealership] for substantial repair on at least one occasion"; that Dealership "owed a duty to Plaintiff to use ordinary care and skill in storage, preparation and repair of the Subject Vehicle in accordance with industry standards"; that Dealership "breached its duty to Plaintiff to use ordinary care and skill by failing to properly store, prepare and repair the Subject Vehicle in accordance with industry standards"; and, that Dealership's "negligent breach of its duties owed to Plaintiffs was a proximate cause of Plaintiff's damages." (FAC at ¶¶ 57-60.) However, Plaintiff also alleges that the subject vehicle is worthless or has *de minimis* value because of an engine defect that was present when he purchased the vehicle. (FAC at ¶¶ 67, 69, 71.) "A plaintiff 'must allege a causal connection between the negligence ... and the injury he suffered. Ordinarily that is accomplished by implication from the juxtaposition of the allegations of wrongful conduct and harm. [Citation.] However, where the pleaded facts of negligence and injury do not naturally give rise to an inference of causation the plaintiff must plead specific facts affording an inference the one caused the others.'" (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 528.) Because there are no allegations in the FAC that would naturally give rise to any inference of causation, the claim has not been sufficiently alleged. The Court notes

that Plaintiff failed to address this argument in his opposition, thereby impliedly conceding that it has merit.

The demurrer to the negligent repair claim is sustained with **15 days** leave to amend.

Sixth Cause of Action: Fraudulent Inducement – Concealment

"The elements of an action for fraud and deceit based on concealment are: (1) the defendant must have concealed or suppressed a material fact, (2) the defendant must have been under a duty to disclose the fact to the plaintiff, (3) the defendant must have intentionally concealed or suppressed the fact with the intent to defraud the plaintiff, (4) the plaintiff must have been unaware of the fact and would not have acted as he did if he had known of the concealed or suppressed fact, and (5) as a result of the concealment or suppression of the fact, the plaintiff must have sustained damage." (*Boschma v. Home Loan Center, Inc.* (2011) 198 Cal.App.4th 230, 248, citing *Hahn v. Mirda* (2007) 147 Cal.App.4th 740, 748.)

"There are 'four circumstances in which nondisclosure or concealment may constitute actionable fraud: (1) when the defendant is in a fiduciary relationship with the plaintiff; (2) when the defendant had exclusive knowledge of material facts not known to the plaintiff; (3) when the defendant actively conceals a material fact from the plaintiff; and (4) when the defendant makes partial representations but also suppresses some material facts.'" Where there is

		no fiduciary relationship, "the duty to disclose generally presupposes a relationship grounded in 'some sort of transaction between the parties,'" such as, "the relationship between seller and buyer, employer and prospective employee, doctor and patient, or parties entering into any kind of contractual agreement." (*Los Angeles Memorial Coliseum Com. v. Insomniac, Inc.* (2015) 233 Cal.App.4th 803, 831, citations omitted.) Generally, fraud "must be pleaded with specificity rather than with 'general and conclusory' allegations." (*Ragland v. U.S. Bank Nat'l Ass'n* (2012) 209 Cal. App. 4th 182, 196, citing *Small v. Fritz Companies, Inc.* (2003) 30 Cal.4th 167, 184.) However, courts have found, "[t]his statement of the rule reveals that it is intended to apply to *affirmative* misrepresentations." (*Alfaro v. Community Housing Improvement System & Planning Assn., Inc.* (2009) 171 Cal.App.4th 1356, 1384, emphasis added.) Nonetheless, that does not mean no specificity is required. "California courts apply the same specificity standard to evaluate the factual underpinnings of a fraudulent concealment claim at the pleading stage, even though the focus of inquiry shifts to the unique elements of the claim." For example, the court may need to determine "whether the plaintiff has alleged a sufficient factual basis for establishing a duty of disclosure on the part of the defendant independent of the parties' contract. If the duty allegedly arose by virtue of the parties' relationship and defendant's exclusive knowledge or access to certain facts,… the complaint must also include specific allegations establishing all

		the required elements, including (1) the content of the omitted facts, (2) defendant's awareness of the materiality of those facts, (3) the inaccessibility of the facts to plaintiff, (4) the general point at which the omitted facts should or could have been revealed, and (5) justifiable and actual reliance, either through action or forbearance, based on the defendant's omission." (*Rattagan v. Uber Technologies, Inc.*, 17 Cal.5th at 43-44.) Here, Defendants contend Plaintiff's fraudulent concealment claim fails because there was no "direct transaction" between Plaintiff and Jaguar that could give rise to a duty of disclosure. (Memo. of P&A at pp. 4-6.) This argument is not persuasive, because Plaintiff expressly alleges in the FAC that he purchased the Land Rover from Jaguar's "authorized retail dealership, Jaguar Land Rover Mission Viejo." (FAC at ¶ 9.) In liberally construing the FAC (as the Court must in ruling on the demurrer), Plaintiff has alleged facts showing more than just a transaction between Jaguar "and the public at large"; rather, Plaintiff has alleged a transaction between him and Jaguar's authorized agent. (*Dhital v. Nissan North America, Inc.* (2022) 84 Cal.App.5th 828, 844 [noting that, at the pleading stage, plaintiffs' allegations that they purchased the vehicle from an authorized Nissan dealership, which acted as Nissan's agent for that purpose, were sufficient to allege a relationship requiring Nissan to disclose defects]; see also *Bigler-Engler v. Breg, Inc.* (2017) 7 Cal.App.5th 276, 312 ["Such a transaction must necessarily arise from direct dealings between the

		plaintiff and the defendant; it cannot arise between the defendant and the public at large"].) The Court also rejects Defendants' argument that the fraudulent concealment claim fails for lack of specificity. Defendants contend Plaintiff "does not allege specific facts identifying what information was concealed, who concealed it, how it was concealed, or how the alleged concealment occurred in connection with Plaintiff's particular vehicle or purchase transaction." (Memo. of P&A at pp. 6-7.) Plaintiff has sufficiently alleged: (1) the content of the omitted facts (i.e., the failure to disclose the engine defect); (2) Jaguar's awareness of the materiality of those facts; (3) the inaccessibility of the facts to Plaintiff; (4) the general point at which the omitted facts should or could have been revealed (i.e., at the point of sale from Jaguar's authorized dealer); and, (5) justifiable and actual reliance, either through action or forbearance, based on the Defendants' omission. (See FAC at ¶¶ 62-84.) Accordingly, the demurrer to the fraudulent concealment claim shall be overruled. ***<u>Defendants' Motion to Strike is denied.</u>*** "The court may, upon a motion made pursuant to Section 435, or at any time in its discretion, and upon terms it deems proper: (a) Strike out any irrelevant, false, or improper matter inserted in any pleading." (Code Civ. Proc. § 436, subd. (a).) Improper damage claims, including claims for punitive damages, are commonly subject to a motion to strike. (Cal.

		Prac. Guide Civ. Pro. Before Trial at ¶¶ 7:182, 7:185.) In light of the ruling on the demurrer, the Court finds Plaintiff should be permitted to plead punitive damages in connection with his fraudulent concealment claim. (Civ. Code, § 3294.) Thus, the motion to strike punitive damages from the FAC shall be denied. Defendants shall give notice of the ruling.
59	***Minogue vs. NNX Construction Inc.***	Defendant NNX Construction, Inc.'s demurrer to Plaintiffs Megan Minogue's and Chris Minogue's First Amended Complaint ("FAC") is sustained with 15 days leave to amend. A demurrer presents an issue of law regarding the sufficiency of the allegations set forth in the complaint. (*Lambert v. Carneghi* (2008) 158 Cal.App.4th 1120, 1126.) The challenge is limited to the "four corners" of the pleading (which includes exhibits attached and incorporated therein) or from matters outside the pleading which are judicially noticeable under Evidence Code §§ 451 or 452. Although California courts take a liberal view of inartfully drawn complaints, it remains essential that a complaint set forth the actionable facts relied upon with sufficient precision to inform the defendant of what plaintiff is complaining, and what remedies are being sought. (*Leek v. Cooper* (2011) 194 Cal.App.4th 399, 413.) Defendant's request for judicial notice of the

arbitration award dated 6/4/25 is granted. (See *Greenspan v. LADT, LLC* (2010) 191 Cal.App.4th 486, 525 (trial court properly took judicial notice of the arbitration award pursuant to Evid. Code, § 452(d).) In granting Defendant's request, the court does not take judicial notice of the truth of any disputed factual assertions in the record but will judicially notice the existence and legal effect of the arbitration award.

Before Plaintiffs filed their Complaint, the parties went to arbitration and Plaintiffs obtained an award of $17,003.94 on 6/4/25. (FAC, ¶ 9, Ex. 3.)

Plaintiffs allege that "[t]he issues reviewed during arbitration are not the same issues listed in this civil complaint." (FAC, ¶ 9.)

In its demurrer, Defendant contends nonetheless that Plaintiffs' claims in the FAC are barred by the doctrine of res judicata. The Court agrees.

In *Thibodeau v. Crum* (1992) 4 Cal.App.4th 749, the Court of Appeal held that the plaintiffs' lawsuit alleging contract and tort claims against a subcontractor for defective work was barred by res judicata due to the plaintiffs' prior arbitration with the general contractor. (*Id.* at 752.)

The Court of Appeal held that "[i]f the matter was within the scope of the action, related to the subject-matter and relevant to the issues, so that it *could* have been raised, the judgment is conclusive on it despite the fact that it was not in fact expressly pleaded or otherwise urged," the reason being that a "party cannot by negligence or design withhold issues and litigate them in

		consecutive actions." (*Id.* at 755 [emphasis in original]; see also *Mycogen Corp. v. Monsanto Co.* (2002) 28 Cal.4th 888, 897.) Noting that the doctrine of res judicata applies to arbitration proceedings as well as judicial proceedings, the court stated that "case law also indicates that arbitrating parties are obliged…to place before their arbitrator <u>all matters within the scope of the arbitration, related to the subject matter, and relevant to the issues</u>." (*Id* [emphasis added].) Based on the foregoing, Plaintiffs were obligated to arbitrate all of their claims with respect to Defendant's alleged faulty work and resulting damage during the construction project that forms the basis of their breach of contract claim in the FAC. Accordingly, the demurrer is sustained with leave to amend, in the event that Plaintiffs are able to allege additional facts or claims that are outside the scope of what was arbitrated. Defendant shall give notice.
60	***Valdez vs. 511 Seaward, LLC***	The court is inclined to grant defendants Integrated Resources, Ruo Ying Yueh, Robert Montgomery, and Charles T. Lee's motion for good faith settlement determination for their settlement with plaintiffs Brandy and Arnold Valdez, trustees of the Arnold and Brandy Valdez Family Trust, and to dismiss the indemnity cross-complaint against Defendants, under CCP §877.6. [ROA #361.]

		The court notes, however, that the proof of service for the motion does not comply with Code of Civil Procedure section 1013b(b)(1) insofar as the email address from which email service was made is not included in the proof of service. Further, the supporting declaration of Robert Montgomery is not signed. [ROA #357.] If Defendants file a corrected proof of service and signed Montgomery Declaration prior to the hearing, the court will proceed to the merits. Otherwise, the motion will be continued to **October 23, 2026, at 9:00 a.m. in Department C21** for Defendants to file a corrected proof of service, a signed Montgomery Declaration, and notice of continuance with proof of service.